

guesswork, in other words. You can wait and let the markets tell you what is really going on.

And even if you miss a signal now and then, it is not necessarily fatal. Say you missed the clanging bells in 2000s. You just held your stocks. In fact, after a brief drop, they continued to go up. The Dow eventually rose to over 15,000, giving you a total of about \$500,000 at the top. Not too shabby, right?

That's what beta investing can do for you. That's what the smart money, the Old Money, the family money does.

In any event, that's what we try to do in our family office.

So far, we have touched on several things the rich do differently. We have claimed that they do not buy "safe, conservative" investments. In fact, they buy what the wealth managers consider the least safe and least conservative investments. And they try to do so at the moment the pros consider them at the very height of their riskiness.

We also noted that they do not chase alpha. Instead, they try to ride along with beta.

And if they follow the professional wealth managers' advice, it is usually only in the inverse. When Wall Street is actively pushing an investment, it is usually something you want to sell, not buy.

As also mentioned, they worry more about asset allocation than asset selection (another way of focusing on beta, rather than alpha).

Many find it curious, too, that serious Old Money families are more concerned about minimizing fees and costs than ordinary investors with a lot less money. Old Money does not worry about day-to-day, quarter-to-quarter, or even annual results. It does not use sophisticated investment tools or complicated techniques. It especially eschews financial products targeted at high-net-worth individuals, for these financial products are typically those with the most built-in, compounded fees.

THE BETA PERSONALITY

But let's dig deeper into the alpha-beta question. It's essential to understanding the mentality of the long-term, Old Money investor. Alpha is